

# Beyond the Dollar: Can Pakistan Trade More in Yuan?

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*Pakistan now has three licensed banks offering RMB settlement and clearing services, a standing currency swap arrangement with China, and its first sovereign Panda Bond. Much of the discussion frames these developments as part of dedollarisation, but that framing says little to a Chinese manufacturer deciding how to invoice a Pakistani buyer or fund a local subsidiary. This Insight instead asks a practical question: which banks can facilitate RMB transactions in Pakistan, what operational advantages does direct RMB settlement provide, and where does the settlement system still face structural constraints?*

## 1. Context

Pakistan's RMB settlement infrastructure has developed in stages. The State Bank of Pakistan first authorised Industrial and Commercial Bank of China Limited (ICBC) to establish a local CNY settlement and clearing mechanism in 2015. In April 2018, SBP authorised Bank of China Pakistan to establish a local CNY settlement and clearing setup, enabling it to open CNY accounts for banks and provide liquidity to the interbank market. In October 2023, the Governor of SBP confirmed that the People's Bank of China had designated ICBC Karachi Branch as the RMB clearing agent in Pakistan and noted that Pakistan's regulatory framework permits RMB denominated trade and investment transactions.<sup>1,2</sup>

ICBC's role also extends beyond basic settlement. ICBC reports that its Karachi branch officially launched the RMB clearing mechanism in Pakistan and enables commercial banks to handle RMB business through accounts maintained with the Karachi branch. Bank of China Pakistan currently advertises RMB cross border trade settlement together with letters of credit, documentary collection, telegraphic transfers and guarantees, while Standard Chartered states that its Pakistan franchise is part of its broader cross border RMB network.<sup>3,4,5</sup>

The use of RMB in Pakistan's trade with China has also increased. SBP reported in October 2023 that RMB denominated imports from China had risen from about 2 per cent of imports in FY2018 to around 18 per cent in FY2022. The shift has been accompanied by a broader effort to diversify Pakistan's access to non dollar financing. In May 2026, Pakistan issued its inaugural Panda Bond of CNY 1.75 billion, supported by guarantees from the Asian Development Bank and the Asian Infrastructure Investment Bank.<sup>2,6,7</sup>

Behind this sits the bilateral currency swap arrangement between SBP and the People's Bank of China. SBP's financial statements for FY2025 record the arrangement at CNY 30 billion. The swap provides a central bank liquidity backstop, but it is distinct from the commercial clearing facilities available to individual firms.<sup>8</sup>

## 2. Analysis

The immediate practical benefit of RMB settlement is straightforward. Under a conventional route, a Pakistani importer buying Chinese machinery may convert rupees into dollars and then dollars into RMB, creating two points of foreign exchange exposure and potentially two layers of transaction costs. Direct RMB settlement can remove the dollar conversion leg, reducing the number of currency conversions and giving the buyer and supplier greater certainty about the currency in which the final invoice will be settled. SBP itself has identified lower costs, faster turnaround and improved pricing as potential benefits of a local RMB clearing mechanism.<sup>2</sup>

The more important constraint, however, is structural rather than transactional. Pakistan runs a persistent trade deficit with China, which limits the ability of the domestic banking system to accumulate RMB organically through exports. Carnegie's analysis identified three related constraints: low awareness of cross border RMB operations, limited local RMB liquidity, and the absence of a broad range of standard RMB financing products such as export and import credit, project finance and short term working capital facilities. These constraints remain directly relevant to firms considering whether to use RMB as a routine operating currency.<sup>9</sup>

Clearing capacity and liquidity support are therefore two different layers of the system. A bank authorised to clear RMB provides the commercial infrastructure through which a transaction can be settled on a given day. The bilateral swap arrangement, by contrast, is a sovereign liquidity backstop between central banks. It is not a facility that an individual company can draw directly. Pakistan's reliance on that backstop means the development of a deeper, self sustaining local RMB liquidity pool remains an important unresolved issue.<sup>8,9</sup>

For a Chinese investor, the distinction matters. The presence of RMB clearing infrastructure means that an invoice can be settled in RMB, but

it does not automatically mean that RMB trade finance, project finance or working capital will be available on standard terms. Bank of China Pakistan, for example, lists a range of RMB settlement and trade finance products, but the availability, pricing and credit limits applicable to a particular transaction still depend on the bank and the client's circumstances.<sup>4</sup>

Pakistan's Panda Bond also illustrates the broader move toward greater RMB based financial engagement. The CNY 1.75 billion issue was supported by ADB and AIIB guarantees and is intended to diversify Pakistan's external financing sources while supporting sustainable infrastructure. It demonstrates that the RMB is no longer relevant only to trade settlement; it is becoming part of Pakistan's wider financing architecture.<sup>6,7</sup>

### 3. Implications

For a medium sized Chinese manufacturer, the practical implication is that RMB settlement is now a usable option rather than a purely policy initiative. The presence of established clearing arrangements, Bank of China's RMB trade finance services and Standard Chartered's broader RMB connectivity means that firms have multiple channels through which to structure China linked payments.<sup>4,5,2</sup>

Financing, however, requires more scrutiny. A firm seeking an RMB denominated trade facility, letter of credit or working capital line should not assume that clearing capability implies financing capability. The relevant questions are whether the bank can provide the product in RMB, what collateral or credit support it requires, how the facility is priced, and how the bank manages RMB liquidity during periods of foreign exchange stress. The underlying swap arrangement provides resilience to the system, but it is still a finite policy instrument rather than a permanent substitute for a deep domestic RMB market.<sup>8,9</sup>

### 4. The Way Forward

Two practical steps follow. First, a Chinese firm evaluating Pakistan should ask its banking partner, whether ICBC, Bank of China or Standard Chartered, precisely which RMB denominated financing products are available at the time of commitment, rather than assuming that settlement capability also implies access to credit. Bank level

product information should be treated as a commercial due diligence item.<sup>3,4,5</sup>

Second, the use of the bilateral swap facility and the depth of local RMB liquidity should be monitored as indicators of the system's resilience. Pakistan's CNY 30 billion swap arrangement remains an important backstop, but the long term objective should be to expand the volume of trade, financing and investment that can be settled in RMB without relying excessively on central bank liquidity support. The policy test is therefore not simply whether Pakistan can clear RMB, but whether businesses can use RMB routinely across settlement, financing and treasury functions at competitive cost.<sup>8,2,9</sup>

## About the Author

Reza Khan is a researcher with an M.Phil. in Government and Public Policy from the National Defence University, Islamabad, and an MBA in Finance. His professional background spans business strategy, international trade, economics and organizational leadership. His research focuses on public policy, governance, strategic communication, and the relationship between technology, institutions and society.

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